However, only a few days later on February 28, 1947, in the course of his speech presenting the budget for the year 1947–48, the Finance Member announced that after careful consideration he had come to the conclusion that the advantages of nationalization outweighed any possible disadvantages, and that, therefore, the bank should be nationalized, the time and the manner of nationalization being considered separately.

The question of nationalization was not referred to the bank by the government for some months due to the political situation but in January 1948, R.K. Shanmukham Chetty, the first Finance Minister of independent India, requested Deshmukh who was in New Delhi at the time to set down his personal views on the question of nationalization of the RBI and the Imperial Bank as resolutions urging their nationalization were to be discussed in the budget session of the Legislature. Deshmukh handed Chetty a note which contained his observations on the subject before he left New Delhi.

Deshmukh considered it very desirable that the RBI Board should be invited to express its opinion on the subject before a final decision was taken by the government even though he felt that in expressing views on the nationalization the Board ‘will not be entirely free of the suspicion of being biased in their own interests.’ As regards his own observation, Deshmukh said that on a final analysis, it did not much matter whether the bank was run as it was then constituted, or was nationalized. In his opinion, it was ‘all a question of timing and fitting the character of the institution to the pattern of the country’s economy’.[9]

Deshmukh observed that in India’s case a nationalized bank would be required for the implementation of or fitting into any well-defined plan of action in the economic sphere and for responsiveness in fulfilling any governmental programme. He remarked that whatever be its composition, the RBI was ‘bound to be pliant to the will of the Government, as for purposes of war, so for any short-term purpose of peace’, and therefore, it could not be said that the attainment of any important objective would be interfered with if the bank was not nationalized. Deshmukh felt that as things stood nationalization of the bank was neither called for nor was it likely to be beneficial.[10]

Nor was Deshmukh in favour of the proposal to nationalize the Imperial Bank. The two charges leveled against that bank were that it was too